

in earnings would seem to justify.³ (One reason for this excessive price decline is that an unfavorable apparent *trend* has come to influence prices even more severely than the absolute earnings figures.) The owner's natural reluctance to accept a large loss is reinforced by the reasonable belief that he would be selling the issue at an unduly low price, and he is likely to find himself compelled almost unavoidably to assume a speculative position with respect to that security.

Exceptional Margins of Safety as Insurance Against Doubt. The only effective means of meeting this difficulty lies in following counsels of perfection in making the original investment. The degree of safety enjoyed by the issue, as shown by quantitative measures, must be so far in *excess* of the minimum standards that a large shrinkage can be suffered before its position need be called into question. Such a policy should reduce to a very small figure the proportion of holdings about which the investor will subsequently find himself in doubt. It would also permit him to make his exchanges when the showing of the issue is still comparatively strong and while, therefore, there is a better chance that the market price will have been maintained.

Example and Conclusion. As a concrete example, let us assume that the investor buys an issue such as the Liggett and Myers Tobacco Company Debenture 5s, due 1951, which earned their interest an average of nearly twenty times in 1934–1938, as compared with the minimum requirement of three times. If a decline in profits should reduce the coverage to four times, he might prefer to switch into some other issue (if one can be found) that is earning its interest eight to ten times. On these assumptions he would have a fair chance of obtaining a full price for the Liggett and Myers issue, since it would still be making an impressive exhibit. But if the influence of the downward trend of earnings has depressed the quotation to a large discount, then he could decide to retain the issue rather than accept an appreciable loss. In so doing he would have the great advantage of being able to feel that the safety of investment was still not in any real danger.

³ Many railroad bonds have proved an exception to this statement since 1933. Note, for example, that Baltimore and Ohio Railroad First 4s, due 1948, sold at 109¹/₂ in 1936, although the margin over total interest charges had long been much too small. In 1938 these bonds sold at 34¹/₄.